



**THE YEAR WAS** 2016 when video OTT platforms came as a breath of fresh air for 31-year-old Sanya Kelkar. The Pune-based IT professional had grown sick of the incessant ads, inconvenient scheduling and passé content available on traditional linear television.

Cut to seven years later, and many Indians like her love watching online video content. Indians spent 6.1 trillion minutes or over 11 million years watching videos in a span of 15 months between January 2022 and March 2023, per estimates from Media Partners Asia. But Indians also love free content—88 per cent of that time was spent on YouTube, while the rest was spent on OTT video streaming apps.

After enjoying a boom for the past few years, the 60-odd OTT platforms in India are now faced with a challenge: How to scale up their costly content business in the entertainment-crazy but price-conscious Indian market, especially when the viewers are spoilt for choice. After all, the world's most populous nation's estimated ₹13,000-crore video OTT market has a 60-40 split in favour of revenues from advertising-based video-on-demand (AVoD), or low-cost ad-supported platforms.

## TRIALS & TRIBULATIONS

Manish Kalra, Chief Business Officer at ZEE5, says the challenge now

## SEGMENT



**2 MILLION**

**Digital-only top-end homes, with connected TV-only consumption**



**43 MILLION**

**Digital-first homes with pay TV and one or more SVoD plans**

is the customer's intent to pay. "On the AVoD side, we have 100 million MAUs (monthly average users). How do we convert them into paid users?" he asks. The platform offers the first episode of its original shows for free to get viewers to subscribe, but he admits the conversion rate is in the low single-digits.

The average Indian viewer is used to paying around ₹300 a month for cable or direct-to-home (DTH) subscriptions. But even a top-end telecom-bundled pack of 10-12 OTT apps costs ₹1,000-1,200 a month. And subscribing even to the top two or three OTT platforms costs upwards of ₹3,000 a year. And there are around 60 platforms on offer currently.

"Eventually, how many subscriptions will a person subscribe to? On an average, people have two to three subscriptions. We are the local OTT [player], then there are national and international ones," says Ajit Thakur, Co-founder and Director at aha, a regional content streaming platform, adding that their hyperlocal regional content holds them in good stead.

It's an expensive proposition even for urban users, while the yet-to-be-tapped viewers from smaller cities and towns of India are typically conservative spenders. "Indian

consumers are value conscious and not price conscious. They are not subscribing to a service because it's cheaper than the rest, but because of its value proposition," says Sushant Sreeram, Country Director at Amazon Prime Video, India. He adds that a single Amazon Prime membership gives customers shopping, savings, and entertainment benefits.

The recently released FICCI-EY Media & Entertainment Report 2023 pegs the number of households paying for at least one subscription video-on-demand (SVoD) service inching up to only 52 million by 2025 from 45 million currently, if the current pricing is maintained. The report's author and EY's Media & Entertainment Leader Ashish Pherwani says OTT is a relatively expensive product in India, and the market can be doubled if the prices are reduced. "Cutting content costs is not much of an option because that will always be a platform's USP. It will have to be on customer acquisition, tech, content mix and other costs. We need bundling [of more offerings] for the OTT segment to reach scale."

Creating content is an expensive affair and the platforms have been going hammer and tongs at each other to pump investments into creating content for the Indian market.

WITH 150 MILLION HOUSEHOLDS IN INDIA WITH